Equation Recycling Pte Ltd v Leading Bio-Energy (S) Pte Ltd

[2026] SGHC 126, District Court Appeal No 23 of 2025

General Division of the High Court of Singapore (Sushil Nair JCA)

Jurisdiction

Singapore

Area of law

Contract law; Landlord and Tenant law; Remedies for breach; Penalty clauses; Deposits; Civil procedure and pleadings

Legal question

Whether a clause providing for the absolute forfeiture of a security deposit paid by a tenant constitutes an unenforceable penalty clause under the rule against penalties. Whether the law of penalties, as established in Li Jialin, applies to security deposits paid under a lease or only to purchase deposits. Whether an unpleaded argument regarding a penalty clause can be raised and determined at trial without prejudice to the opposing party.

Key facts

Equation Recycling (appellant) and Leading Bio-Energy (respondent) entered into a Handling Service Agreement on 12 April 2021 for a 30-month term from 1 June 2021 to 31 December 2023. The respondent agreed to pay a monthly Handling Service Fee of $40,000 and a refundable security deposit of $120,000 (equivalent to three months' rent). Recital 4 of the agreement provided that the principal (appellant) reserved the right to forfeit and deduct from the deposit for any breach of conditions or stipulations. The respondent defaulted on payments beginning in August 2022 and again in April 2023. The appellant terminated the agreement on 18 May 2023 and later obtained judgment for unpaid amounts and related costs. The parties settled some disputes but the respondent subsequently requested return of the security deposit in March and April 2024. The appellant refused, citing various breaches and losses allegedly caused by the respondent. The respondent commenced proceedings in August 2024 seeking recovery of the security deposit.

Holding

The judge held that while the respondent failed to plead the penalty argument in its statement of claim, it should be permitted to advance it as an unpleaded argument because: (1) it was a legal issue arising from the appellant's reliance on Recital 4; and (2) no irreparable prejudice was occasioned. On the merits, the judge found that Recital 4 imposed secondary obligations on the respondent to pay compensatory damages for breaches, bringing it within the scope of the penalty rule. The security deposit of $120,000 was not a genuine pre-estimate of loss since it could be forfeited for any breach, including minor breaches causing lesser loss. Accordingly, the forfeiture clause was an unenforceable penalty. The judge rejected the appellant's arguments based on Li Jialin and Hon Chin Kong as inapplicable to security deposits under leases as opposed to purchase deposits. The judge further held that the Settlement agreement had compromised all pre-settlement breaches and that the appellant had failed to establish legal or factual basis for set-off of claimed losses against the deposit.

Significance

This case addresses the relationship between the law of penalties and security deposits in commercial tenancy agreements, extending prior principles beyond the conveyancing context. It clarifies that the law of penalties may apply to security deposits paid under leases, not merely to purchase deposits, if the deposit does not have an 'earnest' character. The decision establishes important procedural principles regarding when unpleaded legal arguments may be raised at trial. The case provides practical guidance on the enforceability of forfeiture clauses in commercial leases and the circumstances under which landlords may retain security deposits for breaches. It has significant implications for the commercial leasing market in Singapore regarding standard security deposit provisions.

Precedent impact

While the court upheld application of penalty principles to security deposits in lease contexts (contrary to the narrower holding in Li Jialin), it distinguished between earnest deposits and security deposits held to ensure performance. The decision may establish precedent for applying penalty doctrine to security deposits that do not function as earnest payments. However, the court noted the relative novelty of the issues and that prior authorities focused on conveyancing contexts. The holding does not overturn Li Jialin but extends its framework conditionally. The case may influence future interpretation of forfeiture clauses in commercial tenancy agreements and the circumstances under which retention of security deposits constitutes an unenforceable penalty.

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